

Trade Secret Protection & Public Artificial Intelligence Platforms

Introduction

With the increasing use of artificial intelligence by individuals and entities, there is an increasing risk of information being disclosed to public artificial intelligence platforms (PAIP), and the platforms disclosing information to the public. Information that qualifies for trade secret protection must qualify as a secret. To understand whether information communicated to PAIPs can receive trade secret protection, this article will first determine (1) when information is a secret, (2) what PAIPs store, and (3) if PAIPs' storage makes the information readily available. Then, the article will present current trade secret protection methods, PAIP federal legislation suggestions, reasons to extend or terminate trade secret protection when trade secrets are disclosed to PAIPs or by PAIPs to the public, compiled possible outcomes, and the best solution.

Understanding Secrecy

Information qualifies as a trade secret when the party maintaining the information's secrecy has an actual or future advantage over competitors. The party maintaining secrecy must have a competitive edge over competitors who do not know about it. The party maintaining secrecy must keep the information a secret from parties within the same industry who could obtain value from the information's disclosure. If the information is or becomes readily available, the information cannot be protected as a trade secret. Information that is available online, in public libraries, in trade journals, in public records, in published patents, and in patent applications, is readily available and cannot be protected by trade secret protection. The ongoing concern is whether disclosure of trade secrets to PAIPs or by PAIPs to the public qualifies as information that is readily available to the public similar to the aforementioned mediums.

Efforts of secrecy are measured by the standard of reasonableness. Absolute secrecy is not required. The individual or entity should take affirmative steps that are reasonable under the circumstances to ensure that the information remains unknown to parties who would profit from its disclosure. Unduly burdensome procedures are not considered reasonable. Failure to use reasonable secrecy halts trade secret protection. Trade secret protection remains intact when employers relay information to employees or necessary third parties who are involved in the use or application of the information. Employees have a fiduciary duty to not disclose information that qualifies as a trade secret to others during employment and post-employment if they are properly notified that the information is a secret. The ongoing concern is whether individuals' or entities' disclosure of the subject matter of trade secret protection to PAIPs undermines reasonable efforts, and conflicts with affirmative steps to maintain secrecy. Another remaining issue is whether trade secret protection could be upheld if disclosure to PAIPs is treated similarly to disclosure to employees and 3rd parties who are bound by fiduciary duties and confidentiality provisions.

Understanding PAIPs' Storages

PAIPs may retain inputs for data for training purposes. The inputs may be used to refine future responses and may expose other users. Inputs such as sensitive company data, project details, strategies, software codes, unpublished research, and confidential customer information can be retained. PAIPs include platforms like ChatGPT (OpenAI) and Claude (Anthropic). Open AI's policies include a Services Agreement (SA) and a Data Processing Addendum (DPA). According to the SA, Open AI's privacy measures will comply with the DPA and uphold HIPAA compliance by prohibiting customers from inputting protected health information into Open AI.

According to the DPA, OpenAI will only use customer data for reasons listed within the SA and the DPA. OpenAI will ensure that the individuals who they authorize to handle customer

data must abide by internal and statutory obligations of confidentiality. OpenAI will uphold and maintain reasonable security measures to protect customer data. In cases of an established confidentiality agreement, OpenAI will participate in audits or inspections at the customer's request and sole expense. The audits and inspections must be minimally disruptive to OpenAI's business, necessary to confirm constant compliance with the SA and the DPA; and occur annually or greater. OpenAI will operate within U.S. privacy laws.

Understanding Availability of Information in PAIPs' Storages

Inputs in the form of text, images, video, etc. are used as training data. Inputs include sensitive data including health information, financial information, feature recognition, and biometric information. Some PAIPs automatically opt users into training their PAIPs. There is a rising issue of ambiguous consent unbeknownst to consumers who provide initial consent for text, pictures, and videos. For example, a patient who consents to the use of their photos by a medical practice can be left unprotected because initial consent enables the medical provider to do what they want with the photo including inputting it into PAIPs. Parties like the patient are subject to potential use of their photo in future outputs for others, data leakages, and data breaches.

Data leakages are accidental exposure of sensitive data. For instance, OpenAI had a data leakage that showed users data from other users' conversation histories. There is a persistent risk that customers' data will be used when other customers use a specific enough input. The remaining question is whether trade secret owners can maintain trade secret protection when disclosing it to PAIPs when they know that ambiguous consent can lead to the information being readily available to other users, or that data leakages and data breaches can result and may conflict with reasonable efforts of secrecy.

Current Trade Secret Protection Methods for Users and Applicability to PAIPs

While parties can maintain trade secret protection through physical methods or technical methods, these reasonable efforts to maintain secrecy can still be undermined by disclosing trade secrets to PAIPs and their subsequent publication. Physical methods include locking file cabinets and doors, erecting fences around their buildings, hiring guards, labeling their documents as secret, limiting access to their files and documents, conducting exit interviews to remind parties of their confidentiality requirements, implementing destruction measures for documents that are no longer in use, instructing third parties to destroy the documents that are no longer in use, and implementing a reviewing process for all public releases.

Technical methods include preventing employees from transferring entity information to their personal devices, using password protection, regularly changing passwords, creating firewalls, inputting encryption, implementing tracking software to determine when information will be stored online, choosing to only use cloud-based storage services that utilize internal protections of trade secrets, and requiring cloud-based storage partners to expressly consent to undertaking a duty of confidentiality. Parties can show their reasonable steps for continued protection of trade secrets after disclosure to PAIPs by sending detailed policies regarding information secrecy, examples of inadvertent disclosures, and examples of inadvertent distribution. The policies should include which PAIP tools are company-approved and guidance on using generic inputs.

Another method to maintain trade secret protection is the use of confidentiality agreements. While confidentiality agreements are a factor to determine reasonableness of efforts to maintain secrecy, it is important to note that they are not presumptive evidence. Confidentiality agreements can be useful because they explicitly express the duty of nondisclosure, establish the existence of trade secrets, and require explicit consent to not disclose them. Similar to how confidentiality

agreements are used between trade secret owners and others including potential investors, potential business partners, licensees, suppliers, distributors, outsource firms, independent contractors, consultants, and any party who might depart and become a competitor, confidentiality agreements can be used between trade secret owners and PAIPs. Similar to violations of confidentiality agreements resulting in the right to sue, trade secret owners can sue PAIPs for breach of contract as well as misappropriation of information.

Potential Federal Guidance for PAIPs in the U.S.

The U.S. can adopt parts of California Assembly Bill 1008, and the European Union's General Data Protection Regulation and the Artificial Intelligence Act to create centralized federal data privacy laws or regulations that govern trade secret protection when inputting secret information into PAIPs. California Assembly Bill 1008 amended the California Consumer Privacy Act of 2018 by explicitly expanding the definition of personal information to include outputs of personal information by artificial intelligence systems. The express expansion could bring trade secrets shared to PAIPs that are subsequently used for outputs under the governance of federal laws or regulations.

The European Union governs artificial intelligence by the General Data Protection Regulation (GDPR) and the Artificial Intelligence Act (AIA). Under the GDPR, users have the right to know what personal data is being shared, when personal data is shared, and how personal data is shared. The right to know prevents trade secret owners from unknowingly undermining the secrecy of the subject matter that they intend to keep trade secret protection for. GDPR Article 5 has a storage limitation. Personal data can be stored as long as necessary to be processed. Longer periods are allotted for personal data that is processed for archiving purposes in the public interest, scientific research, historical research, or statistical purposes. Storage limitation can prevent risk

of data leakages or data breaches that result in making the subject matter of trade secret protection, public information. GDPR Article 7 is the right to erasure. An entity is required to delete personal data when it no longer serves the purpose that was originally intended when collected. An entity is required to delete personal data when the owner withdraws consent. The right to erasure limits the risk of a trade secret becoming public information because the owner can withdraw their consent for continued use of their personal data. Their autonomy over their personal data is greater than the PAIP's power to use their personal data for outputs.

Under the AIA, artificial intelligence systems are classified by risk. High-risk artificial intelligence systems propose a significant threat to the health, safety, or rights of individuals. Upholding trade secret protection should fall under the right to privacy and federal protection of data privacy. AIA Article 9 requires high-risk artificial intelligence systems to maintain a risk management system that estimates and evaluates risk that could emerge when users use the high-risk AI system for its intended purposes, or for reasonably foreseeable misuses. When a trade secret owner uses a PAIP with a required risk management platform, they will be able to show the extensive measures that they went through to maintain their trade secret, even if it inadvertently becomes public.

Maintaining Trade Secret Protection

The first reason trade secret protection should be extended when trade secret owners disclose trade secrets to PAIPs is that PAIPs, not the trade secret owner, should be held liable if the PAIPs misappropriate trade secrets and destroy secrecy. The Uniform Trade Secrets Act (UTSA) holds parties that misappropriate trade secrets liable and requires them to provide remedies to the trade secret owner in certain circumstances. Under the UTSA, if a PAIP disclosed or used a trade secret without consent from the owner, and knew at the time of disclosure or had

reason to know that their knowledge of the trade secret was acquired under circumstances that gave rise to a duty to maintain its secrecy, then they can be liable for misappropriation. There are several examples of when a PAIP would be liable for misappropriation. Under the first example, if a PAIP obtains a trade secret from one of the owner's consultants and they are aware that the consultant disclosed it without the owner's consent, then the PAIP can be liable for misappropriation. Under the second example, if a PAIP obtains a trade secret from one of the owner's employees and they are aware that the employee disclosed it in violation of their confidentiality agreement, then the PAIP can be liable for misappropriation. Under the third example, if a PAIP obtains a trade secret by accident, and stores and uses it, then the PAIP can be liable for misappropriation. If any of these situations or similar situations occur, trade secret protection for the owner should remain, and the PAIP would be liable for misappropriation.

The second reason trade secret protection should be extended is that PAIPs take affirmative steps to maintain secrecy by implementing features that limit the likelihood of misappropriation and public disclosure. For example, OpenAI, which is a PAIP, has confidentiality policies that separate confidential information from public information, and limit disclosure of confidential information to third parties. Under OpenAI's confidentiality provision, they use disclosed confidential information within the rights of their policies and to the extent necessary to fulfill their obligations. They reasonably protect confidential information. They do not disclose confidential information to third parties without express permission. They disclose confidential information to their affiliates, employees, contractors, and agents who are obligated to maintain confidentiality, and they hold these parties responsible for breach when they cause breaches. Since absolute secrecy is not required, if confidential information such as trade secrets remain private,

trade secret protection for the owners should remain. There is an explanation of when trade secret protection for OpenAI should not be extended in the following section.

Another example is Claude (Anthropic) who is a PAIP that allows users to turn off features that undermine trade secret protection's requirement of secrecy. With commercial users' consent and consumer users' settings choices, Claude uses their data to train new AI models. Claude retains data of consumer users who opt to allow Claude to use their data for development for five years. This is much longer than the 30-day retention period for commercial users who do not allow Claude to use their data for development. Claude retains data from commercial users who opt-in for 30 days. Since users can control when their inputs are shared, if they utilize opt in/out features, their inputs that include subject matter of trade secret protection can remain a secret. There is an explanation of when trade secret protection for Claude should not be extended in the following section.

Ending Trade Secret Protection

The first occasion that trade secret protection should end is when trade secret owners voluntarily disclose information. Voluntary disclosure outweighs the owner's reasonable efforts to maintain secrecy of a trade secret. Under the Defend Trade Secrets Act (DTSA) the first element to succeed on a claim from misappropriation requires that the plaintiff possesses a trade secret. Voluntary disclosure negates this first element. In *Trinidad v. OpenAI Inc.*, the court found that a party who discloses their trade secret to others who have no obligation to protect the confidentiality of that information cannot have a trade secret. Even if OpenAI's policies provide users with ownership over their inputs, ownership is not dispositive of the secrecy required for trade secret protection.

The second occasion that trade secret protection should end is when PAIPs explicitly undermine confidentiality in their policies. In *United States v. Heppner*, the court found that Claude's policies put users on notice that they collect and use inputs and outputs and disclose data to third parties. Both undermine privacy when using Claude. The court also determined that AI users do not have substantial privacy in the conversations on PAIPs when they voluntarily disclose information because PAIPs do not state that interactions will be confidential. Trade secret protection cannot be extended when secrecy is expressly undermined by trade secret owners' consent to PAIPs' policies through use.

The third occasion that trade secret protection should end is when information is readily ascertainable because it can be reverse engineered. If a trade secret owner discloses their trade secret to a PAIP, then the PAIP uses the trade data to train their model and competitors use the same PAIP to reverse-engineer a process or product, the competitors will be able to argue that the trade secret is easily found and does not deserve protection. The fourth occasion that trade secret protection should end is when an entity's employees voluntarily disclose trade secrets to PAIPs. In 2023, employees at Samsung input confidential code into ChatGPT so the ChatGPT could perform a quality check. This caused a leak in trade secrets. Samsung rectified the situation by implementing a ChatGPT ban for all employees.

Practices to Implement

To maintain trade secret protection when using PAIPs, individuals and entities can implement the following practices. Individuals should thoroughly read policies and ask questions and self-advocate when they lack understanding of how the policies apply to themselves. Entities should ensure that their reasonable measures to maintain secrecy reflect the scale of their company. A smaller entity will likely have less to do to meet the standard of reasonableness, and a larger

entity will likely have to do more. Entities should implement training that teaches all parties who may input confidential information into PAIPs to understand their contractual obligations and fiduciary duties. Entities should provide examples of PAIPs' terms and conditions to make employees aware of the risks associated with inputting confidential data into PAIPs. Entities should maintain PAIP logs that detail which PAIP was used, who it was used by, and what it was used for. Maintaining PAIP logs can provide evidence of affirmative action towards maintaining secrecy.

Conclusion

This article defined secrecy, explained PAIPs' storages, described access, provided current trade secret protection methods, offered federal legislation suggestions, argued for and against extending trade secret protection when trade secrets are disclosed to or by PAIPs, compiled actions to take for the future, and now provides the best solution. While the use of artificial intelligence increases the risk of sensitive and confidential information being disclosed to PAIPs and being subjected to public disclosure, the best way to uphold trade secret protection would be implementing centralized federal legislation and seeking separate confidentiality agreements. Implementing federal legislation with provisions like California Assembly Bill 1008, the GDPR, and the AIA would provide guidance and remedies for trade secret owners and PAIPs because it establishes what both can and cannot do. Considering opt-in data storage, data breaches, and data leakages, entities should be allowed to request a confidentiality agreement with a PAIP that provides more protection than the PAIP's terms and conditions. A separate confidentiality agreement allows entities to include language about protecting trade secrets in specific. As PAIPs advance, new issues and new solutions will continue to arise, and discussions about which laws to put in place will continue to evolve.

Endnotes

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¹¹Regulation (EU) 2016/679 of the European Parliament and of the Council, art. 7, 2016 O.J. (L 119).

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¹⁴*Trinidad v. Openai Inc.*, No. 25-cv-06328-JST, 2026 LX 36737 (N.D. Cal. Jan. 5, 2026).

¹⁵UNIF. TRADE SECRETS ACT § (2)(ii)(B)(II), 14 U.L.A. 433 (1985).

¹⁶*United States v. Heppner*, 2026 LX 51521 (S.D.N.Y. Feb. 17, 2026).

¹⁷*What is the General Data Protection Regulation (GDPR)?*, IBM, <https://www.ibm.com/products/cloud/compliance/gdpr?> (last visited Apr. 19, 2026).